

Remarks = pls. use black ink for scanning purposes.

SEC No. **200930125**

File No. _____

MERRYMART CONSUMER CORP.

(Company's Full Name)

**DD Meridian Park Bay Area corner Macapagal Avenue and EDSA Extension
Boulevard Brgy 76 Zone 10 San Rafael Pasay City 1302**

(Company's Address)

(632) 8743-1111

(Telephone Number)

December 31

(Fiscal Year ending)

SEC Form 17-O for the Third Quarter of 2025

(Form Type)

N/A

Amendment Designation

N/A

Period Ended Date

N/A

(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC
RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission identification number CS200930125 3. BIR Tax Identification No. 281-768-124-000
4. Exact name of issuer as specified in its charter: MerryMart Consumer Corp.
5. Province, country or other jurisdiction of incorporation or organization: Republic of the Philippines
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office and Postal Code: DD Meridian Park Bay Area corner Macapagal Avenue and EDSA Extension Boulevard Brgy 76 Zone 10 San Rafael Pasay City 1302
8. Issuer's telephone number, including area code: (632) 8743-1111
9. Former name, former address and former fiscal year, if changed since last report: N/A
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class

Number of shares of common
stock outstanding and amount
of debt outstanding

Common Shares

7,594,936,709

11. Are any or all of the securities listed on a Stock Exchange?
Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Stock Exchange: Philippine Stock Exchange

Securities Listed: Common Shares

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐ N/A

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐ N/A

PART I--FINANCIAL INFORMATION Item 1. Financial Statements.

The following financial statements are submitted as part of this report:

- a) Unaudited Condensed Consolidated Interim Statements of Comprehensive Income for the three months ended September 30, 2025 and September 30, 2024; Unaudited Condensed Consolidated Interim Statements of Comprehensive Income for the nine months ended September 30, 2025 and September 30, 2024;
- b) Notes to the Unaudited Condensed Consolidated Interim Financial Statement
- c) Unaudited Condensed Consolidated Interim Statements of Financial Position as of September 30, 2025 (unaudited) and December 31, 2024 (audited);
- d) Unaudited Condensed Consolidated Interim Statements of Changes in Equity for the Nine months ended September 30, 2025 and September 30, 2024; and
- e) Unaudited Condensed Consolidated Interim Statements of Cash Flows for the nine months ended September 30, 2025 and September 30, 2024.

MERRYMART CONSUMER CORP. AND SUBSIDIARIES

(Formerly Injap Supermart Inc.)

UNAUDITED CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

**As at September 30, 2025 and December 31, 2024 and
For the Nine months Ended September 30, 2025 and 2024**

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
(Formerly Injap Supermart Inc.)
CONSOLIDATED INTERIM STATEMENTS OF FINANCIAL POSITION

	September 30, 2025 Unaudited	December 31, 2024 Audited
ASSETS		
Current Assets		
Cash and cash equivalents	P1,331,767,404	P2,436,030,006
Receivables	153,836,986	152,319,905
Inventories	3,294,588,540	2,860,665,532
Prepaid expenses and other current assets	802,749,046	731,765,092
Total Current Assets	5,582,941,976	6,180,780,535
Noncurrent Asset		
Property and equipment	5,053,395,931	4,707,604,841
Right-of-use asset	508,071,224	565,171,478
Intangible asset	2,848,279,166	2,852,149,469
Deferred tax asset	155,813,010	134,779,869
Other noncurrent assets	391,613,423	399,426,484
Total Noncurrent Asset	8,957,172,754	8,659,132,141
	P14,540,114,730	P14,839,912,676
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities	P1,671,017,199	P1,766,000,132
Short-term loans payable	3,796,000,000	3,286,000,000
Total Current Liabilities	5,467,017,199	5,052,000,132
Noncurrent Liability		
Retirement benefits liability	49,469,457	48,056,089
Other noncurrent liabilities	2,580,000	16,091,893
Loans payable	4,126,005,722	4,816,034,937
Lease Liabilities	479,016,664	512,992,555
Total Noncurrent Liabilities	4,657,071,843	5,393,175,474
Total Liabilities	10,124,089,042	10,445,175,606
Equity		
Capital stock	379,746,835	379,746,835
Additional paid-up capital	1,386,292,253	1,386,292,253
Retained earnings	1,236,416,324	1,220,197,161
Reserve on defined benefit plan	(253,586)	(253,586)
Non-controlling interest	1,413,823,862	1,408,754,407
Total Equity	4,416,025,688	4,394,737,070
	P14,540,114,730	P14,839,912,676

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
(Formerly Injap Supermart Inc.)

CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024

	September 30, 2025 Unaudited	September 30, 2024 Unaudited
REVENUE		
Sale of goods	P5,209,877,645	P5,661,086,546
Display rental	17,907,172	17,029,103
Other operating income	135,855,853	79,714,807
	5,363,640,670	5,757,830,456
COST OF SALES	4,337,900,966	4,813,932,602
GROSS PROFIT	1,025,739,704	943,897,854
OPERATING EXPENSES	970,394,323	890,313,083
INCOME FROM OPERATIONS	55,345,381	53,584,771
INTEREST EXPENSE	(27,670,959)	(26,856,531)
INTEREST INCOME	1,214,971	741,846
INCOME BEFORE TAX	28,889,393	27,470,086
INCOME TAX (EXPENSE) BENEFIT		
Current	(28,633,916)	(33,877,737)
Deferred	21,033,141	27,088,089
	(7,600,775)	(6,789,648)
NET INCOME/TOTAL COMPREHENSIVE INCOME	P21,288,618	P20,680,438
Net income/Total comprehensive income attributable to:		
Equity holders of the Parent Company	16,219,163	7,826,216
Non-controlling interest	5,069,455	12,854,222
	P21,288,618	P20,680,438

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
(Formerly Injap Supermart Inc.)

CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME
FOR THE THREE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024

	September 30, 2025 Unaudited	September 30, 2024 Unaudited
REVENUE		
Sale of goods	P1,735,339,364	P1,917,848,374
Display rental	7,279,020	7,352,192
Other operating income	76,305,333	25,597,394
	1,818,923,717	1,950,797,960
COST OF SALES	1,446,363,718	1,629,664,899
GROSS PROFIT	372,559,999	321,133,061
OPERATING EXPENSES	373,130,886	307,174,555
INCOME FROM OPERATIONS	(570,887)	13,958,506
INTEREST EXPENSE	(8,916,005)	(8,035,963)
INTEREST INCOME	376,405	192,818
INCOME BEFORE TAX	(9,110,487)	6,115,361
INCOME TAX (EXPENSE) BENEFIT		
Current	(73,110)	(19,927,792)
Deferred	13,814,505	18,418,856
	13,741,395	(1,508,936)
NET INCOME/TOTAL COMPREHENSIVE INCOME	P4,630,908	P4,606,425
Net income/Total comprehensive income attributable to:		
Equity holders of the Parent Company	2,991,300	5,172,509
Non-controlling interest	1,639,608	(566,084)
	P4,630,908	P4,606,425

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
(Formerly Injap Supermart Inc.)
(A Wholly-owned Subsidiary of Injap Investments, Inc.)

CONSOLIDATED INTERIM STATEMENTS OF CHANGES IN EQUITY

	<i>Note</i>	Capital Stock	Additional Paid-up Capital	Reserve on Defined Benefit Plan	Retained Earnings	Non-controlling Interest	Total
Balance as at December 31, 2023		P379,746,835	P1,386,292,253	P25,397	P1,156,889,067	P1,395,488,395	P4,318,441,947
Net income /total comprehensive income for the period		-	-	-	7,826,216	12,854,222	20,680,438
Balance as at September 30, 2024		P379,746,835	P1,386,292,253	P25,397	P1,164,715,283	P1,408,342,617	4,339,122,385
Balance as at December 31, 2024		P379,746,835	P1,386,292,253	(P253,586)	P1,220,197,161	P1,408,754,407	P4,394,737,070
Net income /total comprehensive income for the period		-	-	-	16,219,163	5,069,455	21,288,618
Balance as at September 30, 2025		P379,746,835	P1,386,292,253	(P253,586)	P1,236,416,324	P1,413,823,862	P4,416,025,688

MERRYMART CONSUMER CORP. AND A SUBSIDIARIES
(Formerly Injap Supermart Inc.)
(A Wholly-owned Subsidiary of Injap Investments, Inc.)

CONSOLIDATED INTERIM STATEMENTS OF CASH FLOWS
UNAUDITED

	Nine months Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	P28,889,393	P27,470,086
Adjustments for:		
Depreciation and amortization	299,141,015	269,151,369
Interest expense	27,670,959	26,856,531
Retirement benefits expense	1,636,492	3,679,726
Interest income	(1,214,971)	(741,846)
Operating income before working capital changes	356,122,888	326,415,866
Decrease (increase) in:		
Receivables	(1,517,081)	(26,425,392)
Inventories	(433,923,008)	(39,747,593)
Other current assets	(70,983,953)	(239,553,245)
Increase (decrease) in:		
Accounts payable and other current liabilities	(105,931,729)	(152,489,768)
Cash used in operations	(256,232,883)	(131,800,132)
Interest paid	(297,922,675)	(479,017,915)
Interest received	1,214,971	741,846
Net cash used in operating activities	(552,940,587)	(610,076,201)
CASH FLOWS FROM INVESTING ACTIVITIES		
Payments for PPE acquisition	(233,139,922)	(227,856,404)
Payments for intangible assets acquisition	(5,354,465)	(8,723,888)
Increase (Decrease) in other noncurrent assets	7,813,061	(12,585,512)
Payment of other noncurrent liabilities	(13,511,893)	(13,564,394)
Net cash used in investing activities	(244,193,219)	(262,730,198)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from availment of loans	4,057,024,533	5,580,688,009
Payment of loans payable	(4,249,900,000)	(4,665,431,591)
Lease payment	(114,253,329)	(91,789,713)
Net cash provided from (used in) financing activities	(307,128,796)	823,466,705
NET DECREASE IN CASH AND CASH EQUIVALENTS	(1,104,262,602)	(49,339,694)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR	2,436,030,006	745,575,628
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	P1,331,767,404	P696,235,934

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
(Formerly Injap Supermart Inc.)

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

1. Corporate Information

MerryMart Consumer Corp. (formerly Injap Supermart Inc.) (the “Parent Company”) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on September 9, 2009.

The Parent Company’s primary purpose is to engage in, conduct and carry on the business of buying, selling, manufacturing, distributing, marketing at wholesale and retail of consumer goods including liquor and agricultural, meat and fresh products; lease out store and office spaces and to offer advertising and maintenance services for a fee to its lessee or lease occupants; and to establish and continue the business of general merchandise, mercantile, trading and marketing, processing, production making and manufacturing of consumer products and commodities, and engage in the importation of consumer goods, food and non-food items, agricultural and seafood products and fresh and processed, and other merchandise for the distribution and wholesale and retail of goods and other similar merchandise.

The Parent Company is a subsidiary of Injap Investments, Inc. (III), a company incorporated in the Philippines.

On June 15, 2020, the Parent Company completed its initial public offering and was listed in the PSE under the stock symbol “MM”. III remains as the ultimate parent company and controlling shareholder of MM.

2. Basis of Preparation

Statement of Compliance

The accompanying consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS). PFRS are based on International Financial Reporting Standards issued by the International Accounting Standards Board (IASB). PFRS consist of PFRS, Philippine Accounting Standards (PAS) and Philippine Interpretations issued by the Philippine Financial Reporting Standards Council (FRSC).

Basis of Measurement

The consolidated financial statements of the Group have been prepared using the historical cost basis of accounting, except for retirement benefits liability which is measured at present value of defined benefit obligation.

Functional and Presentation Currency

The consolidated financial statements are presented in Philippine peso, which is the Parent Company’s functional currency. All financial information presented in Philippine peso has been rounded off to the nearest peso, unless otherwise stated.

Basis of Consolidation

The consolidated financial statements include the accounts of the Parent Company and the following subsidiaries (collectively referred herein to as the “Group”).

Subsidiaries	Percentage of Ownership	
	September 30, 2025	December 31, 2024
MerryMart Grocery Centers, Inc. (MMGC)	100	100
MM Consumer Technologies Corp. (MTech)	100	100
Carlos Drugs – Lucena, Inc. (CDLI)	72	72
Z.C. Ramthel Corporation (Ceciles)	53	53
M Supplies Corp. (M Supplies)	100	100

MMGC

MMGC was incorporated and registered with the SEC on September 28, 2018. It is engaged to acquire, hold, own, operate or manage of wholesale or retail trade of foodstuffs, grocery items, household items, consumer goods and merchandise, on any lands, buildings, supermarkets, malls, stores, stalls or structures owned, leased, held, operated, managed or occupied by the entity.

MTech

MTech was registered with the SEC on May 27, 2021 primarily to invest in, purchase, or otherwise acquire, and own, hold, use sell, assign, transfer, lease, mortgage, exchange, develop, or otherwise dispose of real and personal property of every kind and description, including shares of stock, bonds, debentures, notes, evidence of indebtedness, and other securities and obligations of any corporation or corporations, association or associations, joint ventures, incorporated or otherwise, domestic or foreign, for whatever lawful purpose or purposes the same may have been organized and to pay therefor in money or by exchanging therefor stocks, bonds, or other evidences of indebtedness or securities of this or any other corporation, and while the owner or holder of any such real or personal property, stocks, bonds, debentures, contracts, or obligations, to receive, collect and dispose of the interest, dividends, and income arising from such property; to possess and exercise in respect thereof, all the rights, powers and privileges of ownership, including all voting powers of any stock so owned, to carry on, provide support and manage the general business of any corporation, company, association or joint venture and to secure and guarantee the loans and obligations of , and act as surety for its subsidiaries, affiliates or associates as may be authorized by the Board of Directors; and to exercise such powers, act or functions as may be essential or necessary to carry out the purpose stated herein.

MTech has a subsidiary namely, MBOX Smart Lockers Corp. (MBox), which is included in the consolidated financial statements.

MBOX

MBox was incorporated and registered with the SEC on June 4, 2021. It is engaged to invest, own, operate, manage, develop infrastructure, facilities, services, applications and systems for storage and distribution, which includes smart lockers, storages and other logistics systems, tools, equipment and services.

MBox is 70% owned by MTech.

CDLI

CDLI was incorporated and registered with the SEC to conduct, undertake and carry the business of retailing, wholesaling, distributing, manufacturing, buying, selling or otherwise dealing in drugs, pharmaceuticals, as well as medicinal, veterinary or agricultural compounds and chemicals, hospital, medical and laboratory supplies and equipment, food preparations, cosmetics, toiletries and general merchandise of all kinds and description; and to import and export all lawful object of commerce; and to commercial broker, factor, agent upon consignment of indent orders or in any other representative capacity for natural and juridical persons and entities, whether domestic or foreign.

Ceciles

Z.C. Ramthel Corporation was registered in the SEC to engage in, conduct, and carry on the business of buying and selling of pharmaceutical products and all kinds of grocery and food items usually known as convenience stores.

M Supplies

M Supplies was incorporated and registered with the SEC on March 29, 2022 to engage in the business, acquire, hold, own, operate, or manage of wholesale or retail trade of foodstuffs, grocery items, household items, consumer goods, and merchandise, on any lands, buildings, supermarkets, malls, stores, stalls or structures owned, leased, held, operated, managed or occupied by the corporation. To acquire by purchase or by lease, or otherwise, land and interests in lands, and to own, improve, develop and manage any real estate so acquired and to erect or cause to be erected, lease, manage or operate any stores, shops, suites, rooms, or part of any buildings or other structures.

A subsidiary is an entity controlled by the Group. The Group controls an entity if, and only if, the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether or not it controls an investee if

facts and circumstances indicate that there are changes to one or more of the three elements of control.

When the Group has less than majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights.

The financial statements of the subsidiaries are included in the consolidated financial statements from the date when the Group obtains control and continue to be consolidated until the date when such control ceases.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using uniform accounting policies for like transactions and other events in similar circumstances. Intergroup balances and transactions, including intergroup unrealized profits and losses, are eliminated in preparing the consolidated financial statements.

Non-controlling interests include the portion of profit or loss and net assets not attributable to the equity holders of the Parent Company and are presented in the consolidated statements of comprehensive income and within equity in the consolidated statements of financial position, separately from the equity attributable to equity holders of the Parent Company.

Non-controlling interests also include the interests not held by MMCC in CDLI, MBox and Ceciles as at September 30, 2025.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, the Group: (i) derecognizes the assets (including goodwill) and liabilities of the subsidiary, the carrying amount of any non-controlling interests and the cumulative transaction differences recorded in equity; (ii) recognizes the fair value of the consideration received, the fair value of any investment retained and any surplus or deficit in profit or loss; and (iii) reclassify the Parent Company's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The place of incorporation and the place of registration of the subsidiaries are the same with the Parent Company. The Parent Company and its Subsidiaries are domiciled in the Philippines.

3. Summary of Significant Accounting Policies

Except as described below, the accounting policies applied by the Company in these condensed interim financial statements are the same as those applied by the Company in its consolidated financial statements as of and for the year ended December 31, 2024. Under prevailing circumstances, the adoption of new and amended PFRSs is not expected to have any material effect on the financial statements of the Company.

4. Use of Judgments and Estimates

In preparing the condensed consolidated interim financial statements, management has made judgements and estimates that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

The significant judgments made by management in applying the Group's accounting policies and the key sources of estimation uncertainty were the same as those the applied to the consolidated financial statements as at and for the year ended December 31, 2024.

5. Cash and Cash Equivalents

This account consists of:

	September 30, 2025	December 31, 2024
Cash in banks	P1,299,402,411	P2,328,837,532
Cash on hand	32,364,993	104,227,742
Time deposit	-	2,964,732
	P1,331,767,404	P2,436,030,006

Cash in banks earn annual interest at the respective bank deposit rates.

Total interest income earned from cash and cash equivalents amounted to P1.21 million and P0.74 million for the nine months ended September 30, 2025 and September 30, 2024, respectively.

6. Receivables

This account consists of:

	September 30, 2025	December 31, 2024
Trade	P136,548,717	P132,054,839
Receivable from franchisee	1,555,322	2,807,470
Advances to employees	10,665,370	8,640,529
Advances to suppliers	1,650,602	5,207,715
Others	3,416,975	3,609,352
	P153,836,986	P152,319,905

Trade receivables pertain to receivables from credit card sales and in-house charge sales, and receivable from display rental.

Other receivables mainly pertain to receivables from employees and others.

7. Inventories

This account consists of groceries and other consumer products held for sale in the ordinary course of business on wholesale or retail basis.

	September 30, 2025	December 31, 2024
Merchandise inventories	P3,293,458,884	P2,860,162,866
Packaging materials	1,129,656	502,666
	P3,294,588,540	P2,860,665,532

Inventories charged to cost of sales amounted to P4,337.90 million and P4,813.93 million for the nine months ended September 30, 2025 and September 30, 2024, respectively.

8. Prepaid expenses and other current assets

This account consists of:

	September 30, 2025	December 31, 2024
Input VAT - net	P525,367,141	P505,080,703
Prepaid expenses	111,587,985	58,226,179
Advances to contractors and suppliers	164,130,574	168,458,210
Creditable withholding tax	1,663,346	-
	P802,749,046	P731,765,092

This account consists of prepaid expenses, input VAT and other current assets.

Input VAT represents accumulated input taxes from purchases of goods and services for business operations and purchases of materials and services for the store construction which can be applied against future output VAT.

Advances to contractors and suppliers represent amount paid as down payments to contractors and suppliers to facilitate the initial construction of the Group's stores.

Creditable withholding taxes pertain to taxes withheld by the Group's customers which can be applied against any future income tax liability.

9. Intangible Asset

Intangible assets consist of:

	September 30, 2025	December 31, 2024
Brand Name	P2,799,990,000	P2,799,990,000
Software Licenses	48,289,166	52,159,469
	P2,848,279,166	P2,852,149,469

Software licenses pertain to software which have been built, installed or supplied by the manufacturer ready to operate or require some customization based on the Group's specific requirements.

The movements and balances of software licenses are as follows:

	September 30, 2025	December 31, 2024
Cost		
Beginning balance	P95,135,085	P80,152,113
Additions	5,354,465	14,982,972
	100,489,550	95,135,085
Accumulated Amortization		
Beginning balance	42,975,616	30,078,308
Amortization for the year	9,224,768	12,897,308
	52,200,384	42,975,616
	P48,289,166	P52,159,469

The computer software licenses have been built, installed or supplied by the manufacturer ready to operate or require some customization based on the Group's specific requirements.

10. Other Noncurrent Assets

This account consists of:

	September 30, 2025	December 31, 2024
Prepaid rent	P183,633,647	P191,076,517
Security deposits	188,594,776	185,876,025
Construction bond	2,231,528	2,646,936
Other noncurrent assets	17,153,472	19,827,006
	P391,613,423	P399,426,484

Prepaid rent pertains to the amount paid in advance for the use of place or property.

Security deposits pertain to non-interest bearing deposits paid to and held by the Group's lessors which are refundable at the end of the lease term.

11. Short-term and Long-term Loans Payable

Loans payable pertains to unsecured loans obtained from local banks.

Details of the account are as follows:

	September 30, 2025	December 31, 2024
Balance at beginning of the year	P8,102,034,937	P5,700,617,342
Proceeds from loans payable net of issue cost	4,057,024,533	6,539,417,595
Principal payments	(4,237,053,748)	(4,138,000,000)
Balance at end of period	7,922,005,722	8,102,034,937
Less short-term notes and current portion of long-term notes	3,796,000,000	3,286,000,000
Noncurrent portion	P4,126,005,722	P4,816,034,937

12. Revenues

Revenues from Contract with Customers

The Group generates revenues primarily from trading and selling goods and consumer products on a wholesale or retail basis. The revenues from contract with customers is disaggregated by revenue streams as follows:

	For the nine months ended September 30, 2025	For the nine months ended September 30, 2024
Sale of goods	P5,209,877,645	P5,661,086,546
Display rental	17,907,172	17,029,103
Application fees*	733,768	669,643
	P5,228,518,585	P5,678,785,292

* Included under "Other Operating income" account

Sale of goods is recognized at point in time when control of the asset is transferred to the customer, generally upon delivery.

Display Rental

This account pertains to the rental income earned from the suppliers for the exclusive use of gondola and store spaces to display their products in the selling area situated in strategic locations.

13. Cost of Sales

This account consists of:

	For the nine months ended September 30, 2025	For the nine months ended September 30, 2024
Beginning inventory	P2,860,665,532	P2,744,017,089
Add: Purchases	4,771,823,974	4,853,680,195
Total goods available for sale	7,632,489,506	7,597,697,284
Less: Ending inventory	3,294,588,540	2,783,764,682
	P4,337,900,966	P4,813,932,602

14. Lease Arrangements

The Group has various lease agreements for its office, warehouse and store spaces.

- The Group leases its office space for a period of 10 years.
- The Group leases its warehouse space for a period of 5 years.
- The Group leases store spaces. The terms of the leases are for periods ranging from 5 to 15 years, renewable upon mutual agreement of the parties.

Interest expense recognized in profit or loss amounted to P27.67 million and P26.86 million for the nine months ending September 30, 2025 and September 30, 2024, respectively.

The Group also entered into lease agreements for its store spaces that do not qualify under PFRS 16. These lease agreements are based on variable consideration.

Total security deposits and advance rental payments from these lease arrangements amounted to P372.23 million and P376.95 million as at September 30, 2025 and December 31, 2024. These are included under “Other noncurrent assets” account in the consolidated interim statements of comprehensive position.

15. Income Taxes

Income tax expense (benefit) consists of:

	For the nine months ended September 30, 2025	For the Nine months ended September 30, 2024
Current	P28,633,916	P33,877,737
Deferred	(21,033,141)	(27,088,089)
	P7,600,775	P6,789,648

The BIR issued Revenue Regulations (RR) No. 25-2020 to implement Section 4 of Republic Act (RA) No. 11494, Bayanihan to Recover as One Act, which provides that the NOLCO incurred for taxable years 2020 and 2021 can be carried over as a deduction from gross income for the next five (5) consecutive taxable years immediately following the year of such loss.

On March 26, 2021, the President of the Philippines has approved the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act (the “CREATE Act”).

16. Equity and Earnings per Share

Capital Stock

As at September 30, 2025 and December 31, 2024, the authorized and issued capital stock of the Parent Company consists of:

	September 30, 2025	December 31, 2024
Authorized Capital Stock		
Common – P0.05 par value	1,200,000,000	1,200,000,000
Number of Shares Authorized		
Common	24,000,000,000	24,000,000,000
Issued Capital Stock		
Common – P0.05 par value	379,746,835	379,746,835
Number of Shares Issued		
Common	7,594,936,709	7,594,936,709

On November 15, 2019, the Stockholders representing at least 2/3 of the outstanding capital stock and the BOD approved the increase in the Parent Company's authorized capital stock from P5,000,000 divided into 50,000 shares, with P100 par value to P1,200,000,000 divided into 24,000,000,000 shares, with P0.05 par value. Of the total increase in the authorized capital stock, 5,975,000,000 shares, equivalent to P298,750,000, was subscribed by the Injap Investments Inc (III). The payment for the subscription was received in December 2019 and was recorded under "Deposit for future stock subscription" account in the consolidated statements of financial position as at December 31, 2019.

On January 23, 2020, the SEC approved the increase in authorized capital stock from P5,000,000.00 divided into 50,000 shares of the par value of P100.00 each to P1,200,000,000.00 divided into 24,000,000,000 shares of the par value of P0.05 each.

On June 15, 2020, the Company issued 1,594,936,709 additional shares of capital stock.

Retained Earnings

On December 21, 2020, the BOD approved the reversal of P111 million appropriated retained earnings made in 2016 and 2018.

On February 18, 2020, the BOD approved the declaration of cash dividends amounting to P8.4 million, payable to stockholders of record on February 21, 2020. The cash dividends were paid on February 26, 2020.

On December 19, 2019, the BOD approved the appropriation of retained earnings amounting to P80 million out of the Parent Company's unappropriated retained earnings as at December 31, 2019. The appropriation is intended for construction and establishment of the Parent Company's branches nationwide within 3 years.

EPS

EPS is computed as follows:

	For the nine months ended September 30, 2025	For the nine months ended September 30, 2024
Net income attributable to common shareholders of the Parent Company	P16,219,163	P7,826,216
Weighted average number of common shares for basic EPS	7,594,936,709	7,594,936,709
Basic/Diluted EPS	P0.0021	P0.0010

The basic and diluted EPS are the same as there are no dilutive preferred shares, convertible loans and stock

options.

17. Financial Risk and Capital Management Objectives and Policies

Objectives and Policies

The Group has significant exposure to the following financial risks primarily from its use of financial instruments:

- Credit Risk
- Liquidity Risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

The main purpose of the Group's dealings in financial instruments is to fund its respective operations and capital expenditures.

The BOD has overall responsibility for the establishment and oversight of the Group's risk management framework. The BOD has established the Executive Committee, which is responsible for developing and monitoring the Group's risk management policies. The committee identifies all issues affecting the operations of the Group and reports regularly to the BOD on its activities.

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. All risks faced by the Group are incorporated in the annual operating budget. Mitigating strategies and procedures are also devised to address the risks that inevitably occur so as not to affect the Group's operations and forecasted results. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group's principal financial assets include cash and cash equivalents, receivables and security deposits. These financial assets are used to fund the Group's operations and capital expenditures.

Credit Risk

Credit risk represents the risk of loss the Group would incur if credit customers and counterparties fail to perform their contractual obligations. The risk arises principally from the Group's cash, receivables and security deposits. The objective is to reduce the risk of loss through default by counterparties.

Exposure to credit risk is monitored on an on-going basis. Credit is not extended beyond authorized limits. Credit granted is subject to regular review, to ensure it remains consistent with the customer's credit worthiness and appropriate to the anticipated volume of business.

Receivable balances are being monitored on a regular basis to ensure timely execution of necessary intervention efforts.

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting period follows:

	September 30, 2025	December 31, 2024
Cash and cash equivalents (excluding cash on hand)	P1,299,402,411	P645,629,693
Receivables (excluding advances to employees)	153,836,986	132,402,512
Security deposits (included under other noncurrent assets)	188,594,776	169,415,341

P1,641,834,173

P947,447,546

These financial assets are subjected to 12-month ECL.

These financial assets are neither past due nor impaired and has credit quality of high grade financial assets as at September 30, 2025 and December 31, 2024.

The Group assessed the credit quality of cash and cash equivalents as high grade since this is deposited with reputable banks with low probability of insolvency. Receivables assessed as high grade pertains to receivable from banks for credit card purchases and customers that had no default in payment. The Group performs credit investigation and evaluation of each buyer to establish paying capacity and creditworthiness.

The credit risk for security deposits is considered negligible as these are mainly from Companies that are generally financially stable.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group manages liquidity risks by forecasting projected cash flows and maintaining balance between continuity of funding and flexibility in operations. Treasury controls and procedures are in place to ensure that sufficient cash is maintained to cover daily operational working capital requirements. Management closely monitors the Group's future and contingent obligations and sets up required cash reserves as necessary in accordance with internal requirements.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding the impact of netting agreements:

September 30, 2025	Carrying Amount	Contractual Cash Flow	1 Year or Less	1 Year - 5 Years	More than 5 Years
Financial Liabilities					
Accounts payable and other current liabilities*	P1,512,847,305	P1,512,847,305	P1,512,847,305	P -	P -
Loans payable	7,922,005,722	8,750,592,606	4,210,098,302	4,540,494,304	-
Lease liabilities**	577,163,290	823,683,139	123,056,041	420,751,003	279,876,095

* *excluding statutory obligations, current portion of lease liabilities and unearned franchise fees*

***including current portion of lease liabilities*

December 31, 2024	Carrying Amount	Contractual Cash Flow	1 Year or Less	1 Year - 5 Years	More than 5 Years
Financial Liabilities					
Accounts payable and other current liabilities*	P1,616,147,900	P1,616,147,900	P1,616,147,900	P -	P -
Loans payable	8,102,034,937	9,214,589,174	3,722,952,621	5,491,636,553	-
Lease liabilities**	613,518,408	798,336,025	129,394,839	472,597,411	196,343,775

* *excluding statutory obligations, current portion of lease liabilities and unearned franchise fees*

***including current portion of lease liabilities*

Fair Values

The following methods and assumptions are used to estimate the fair value of each class of financial instruments:

Cash and Cash Equivalents/Receivables/Accounts Payable and Other Current Liabilities/Loans Payable/Due to a Related Party

The carrying amounts of these accounts approximate their fair values due to the relatively short-term nature of these financial instruments.

Security Deposits/Lease Liabilities

Security deposits and lease liabilities are reported at their present values, which approximate the cash amounts

that would fully satisfy the obligations as at reporting date.

Capital Management

The Group's objectives when managing capital are to increase the value of shareholders' investment and maintain high growth by applying free cash flows to selective investments. The Group sets strategies with the objective of establishing a versatile and resourceful financial management and capital structure.

The BOD monitors the return on capital, which the Group defines as net operating income divided by total shareholders' equity. The BOD also monitors the level of dividends to shareholders.

The BOD seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the advantages and security afforded by a sound capital position. The Group defines capital as equity, which includes capital stock and retained earnings. There were no changes in the Group's approach to capital management as at September 30, 2025 and December 31, 2024. The Group is not subject to externally-imposed capital requirements.

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
As of September 30, 2025

	Total	Neither past due nor impaired	Past due but not impaired			
			1 - 90 days	91 - 180 days	181 - 360 days	> 360 days
Receivables	153,836,986	153,836,986	-	-	-	-

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME
For the periods ended September 30, 2025 and September 30, 2024

	For the nine months ended September 30, 2025	For the nine months ended September 30, 2024	For the quarter ended September 30, 2025	For the quarter ended September 30, 2024
REVENUES				
Sale of goods	₱5,209,877,645	₱5,661,086,546	₱1,735,339,364	₱1,917,848,374
Display rental	17,907,172	17,029,103	7,279,020	7,352,192
Other operating income	135,855,853	79,714,807	76,305,333	25,597,394
	5,363,640,670	5,757,830,456	1,818,923,717	1,950,797,960
COST OF SALES	4,337,900,966	4,813,932,602	1,446,363,718	1,629,664,899
GROSS PROFIT	1,025,739,704	943,897,854	372,559,999	321,133,061
OPERATING EXPENSES	970,394,323	890,313,083	373,130,886	307,174,555
INCOME FROM OPERATIONS	55,345,381	53,584,771	(570,887)	13,958,506
INTEREST EXPENSE	(27,670,959)	(26,856,531)	(8,916,005)	(8,035,963)
INTEREST INCOME	1,214,971	741,846	376,405	192,818
INCOME BEFORE TAX	28,889,393	27,470,086	(9,110,487)	6,115,361
INCOME TAX EXPENSE (BENEFIT)	7,600,775	6,789,648	(13,741,395)	1,508,936
NET INCOME	₱21,288,618	₱20,680,438	₱4,630,908	₱4,606,425
NET INCOME (LOSS) TO PARENT	16,219,163	7,826,216	2,991,300	5,172,509
NCI NET INCOME (LOSS)	5,069,455	12,854,222	1,639,608	(566,084)
NET INCOME/ TOTAL COMPREHENSIVE INCOME	₱21,288,618	₱20,680,438	₱4,630,908	₱4,606,425

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

September 30, 2025 versus September 30, 2024 Results of Operations

MERRYMART CONSUMER CORP. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME

For the nine months ended September 30, 2025 and September 30, 2024

	September 30, 2025	September 30, 2024	Horizontal Analysis		Vertical Analysis	
			Increase (Decrease)		2025	2024
REVENUES						
Sale of goods	₱5,209,877,645	₱5,661,086,546	(₱451,208,901)	(8.0%)	97.1%	98.3%
Display rental	17,907,172	17,029,103	878,069	5.2%	0.3%	0.3%
Other operating income	135,855,853	79,714,807	56,141,046	70.4%	2.5%	1.4%
	5,363,640,670	5,757,830,456	(394,189,786)	(6.8%)	100.0%	100.0%
COST OF SALES	4,337,900,966	4,813,932,602	(476,031,636)	(9.9%)	80.9%	83.6%
GROSS PROFIT	1,025,739,704	943,897,854	81,841,850	8.7%	19.1%	16.4%
OPERATING EXPENSES	970,394,323	890,313,083	80,081,240	9.0%	18.1%	15.5%
INCOME FROM OPERATIONS	55,345,381	53,584,771	1,760,610	3.3%	1.0%	0.9%
INTEREST EXPENSE	(27,670,959)	(26,856,531)	(814,428)	3.0%	(0.5%)	(0.5%)
INTEREST INCOME	1,214,971	741,846	473,125	63.8%	0.0%	0.0%
INCOME BEFORE TAX	28,889,393	27,470,086	1,419,307	5.2%	0.5%	0.5%
INCOME TAX EXPENSE	7,600,775	6,789,648	811,127	11.9%	0.1%	0.1%
NET INCOME	₱21,288,618	₱20,680,438	₱608,180	2.9%	0.4%	0.4%
NET INCOME TO PARENT	16,219,163	7,826,216	8,392,947	107.2%	0.3%	0.1%
NCI NET INCOME	5,069,455	12,854,222	(7,784,767)	(60.6%)	0.1%	0.2%
NET INCOME/ TOTAL COMPREHENSIVE INCOME	₱21,288,618	₱20,680,438	₱608,180	2.9%	0.4%	0.4%

Nine months Ended September 30, 2025 compared to Nine months Ended September 30, 2024

For the nine months ended September 30, 2025, the Group's consolidated gross profit amounted to ₱1,025.7 million, an 8.7% increase from ₱943.9 million in nine months of 2024, driven by higher margin and other operating income.

For the nine months ended September 30, 2025, the Group earned a consolidated revenue of ₱5,363.6 million compared to ₱5,757.8 million in the same period in 2024 mainly due to decrease in sale of goods for the period as in preparation for its expansion the company have made systems and branch upgrade.

For the nine months ended September 30, 2025, sale of goods contributes 97.1% of the total revenue.

Other operating income for the nine months ended September 30, 2025 amounted to ₱135.86 million, compared to ₱79.71 million for the nine months ended September 30, 2024, the increase was mainly due to higher trade supports and rebates from suppliers and other income.

For the nine months ended September 30, 2025, the Group's cost of sale is ₱4,337.9 million, compared to ₱4,813.9 million for the nine months ended September 30, 2024, which is in line with the movement in the sale of goods.

Operating expenses increased by ₱80.1 million or 9.0% from the ₱890.3 million in the nine months ended September 30, 2024 to ₱970.4 million in the nine months ended September 30, 2025. The additional operating expenses are mainly attributable to the increase in rental expense from branches, depreciation and salaries.

Interest expense amounted to ₱27.7 million for the nine months ended September 30, 2025. Interest expense mainly pertains to the accounting adjustment for the adoption of PFRS 16.

Increase in interest income of ₱0.5 million or 63.8% was primarily from higher interest income from cash deposits and short-term placements.

Income tax expense for the first nine months of 2025 amounted to ₱7.6 million, an increase of 11.9% from first nine months of 2024 mainly due to higher taxable income.

For the nine months ended September 30, 2025, the Group earned a consolidated net income of ₱21.3 million, an increase of 2.9% from ₱20.7 million in nine months ended September 30, 2024. The increase is mainly from higher operating income for the period.

MERRYMART CONSUMER CORP. AND SUBSIDIARIES
UNAUDITED CONSOLIDATED INTERIM STATEMENTS OF COMPREHENSIVE INCOME
For the quarter ended September 30, 2025 and September 30, 2024

	September 30, 2025	September 30, 2024	Horizontal Analysis		Vertical Analysis	
			Increase (Decrease)		2025	2024
REVENUES						
Sale of goods	₱1,735,339,364	₱1,917,848,374	(₱182,509,010)	(9.5%)	95.4%	98.3%
Display rental	7,279,020	7,352,192	(73,172)	(1.0%)	0.4%	0.4%
Other operating income	76,305,333	25,597,394	50,707,939	198.1%	4.2%	1.3%
	1,818,923,717	1,950,797,960	(131,874,243)	(6.8%)	100.0%	100.0%
COST OF SALES	1,446,363,718	1,629,664,899	(183,301,181)	(11.2%)	79.5%	83.5%
GROSS PROFIT	372,559,999	321,133,061	51,426,938	16.0%	20.5%	16.5%
OPERATING EXPENSES	373,130,886	307,174,555	65,956,331	21.5%	20.5%	15.7%
INCOME FROM OPERATIONS	(570,887)	13,958,506	(14,529,393)	(104.1%)	(0.0%)	0.7%
INTEREST EXPENSE	(8,916,005)	(8,035,963)	(880,042)	11.0%	(0.5%)	(0.4%)
INTEREST INCOME	376,405	192,818	183,587	95.2%	0.0%	0.0%
INCOME BEFORE TAX	(9,110,487)	6,115,361	(15,225,848)	(249.0%)	(0.5%)	0.3%
INCOME TAX EXPENSE (BENEFIT)	(13,741,395)	1,508,936	(15,250,331)	(1010.7%)	(0.8%)	0.1%
NET INCOME	₱4,630,908	₱4,606,425	₱24,483	0.5%	0.3%	0.2%
NET INCOME (LOSS) TO PARENT	2,991,300	5,172,509	(2,181,209)	(42.2%)	0.2%	0.3%
NCI NET INCOME (LOSS)	1,639,608	(566,084)	2,205,692	(389.6%)	0.1%	(0.0%)
NET INCOME/ TOTAL COMPREHENSIVE INCOME	₱4,630,908	₱4,606,425	₱24,483	0.5%	0.3%	0.2%
NET INCOME TO PARENT	2,991,300	5,172,509	(2,181,209)	(42.2%)	0.2%	0.3%
NCI NET INCOME (LOSS)	1,639,608	(566,084)	2,205,692	(389.6%)	0.1%	(0.0%)
NET COMPREHENSIVE INCOME	₱4,630,908	₱4,606,425	₱24,483	0.5%	0.3%	0.2%

Quarter Ended September 30, 2025 compared to Quarter Ended September 30, 2024

For the quarter ended September 30, 2025, the Group's consolidated gross profit amounted to ₱372.6 million, a 16.0% increase from ₱321.1 million in third quarter of 2024, driven by higher operating profit and other operating income.

For the quarter ended September 30, 2025, the Group earned a consolidated revenue of ₱1,818.9 million, and ₱1,950.8 million in the same period in 2024, mainly due to decrease in sale of goods for the period as in preparation for its expansion the company have made systems and branch upgrade.

For the quarter ended September 30, 2025, sale of goods contributes 95.4% of the total revenue.

Other operating income for the quarter ended September 30, 2025 amounted to ₱76.31 million, compared to ₱25.60 million for the same quarter in 2024, the increase was mainly due to higher trade supports and rebates from suppliers and other income.

For the quarter ended September 30, 2025, the Group's cost of sale is ₱1,446.4 million, compared to ₱1,629.7 million for the quarter ended September 30, 2024, which is in line with the movement in the sales of goods.

Operating expenses increased by ₱66.0 million or 21.5% from the ₱307.2 million in the quarter ended September 30, 2024 to ₱373.1 million in the quarter ended September 30, 2025. The additional operating expenses are mainly attributable to the increase in rental expense, depreciation and salaries.

The increase in interest expense of ₱0.9 million or 11.0% from ₱8.0 million in the quarter ended September 30, 2024 to ₱8.9 million in third quarter of 2025 was mainly due to higher interest expense from lease liability for the period.

Increase in interest income of ₱0.2 million or 95.2% primarily from higher interest income from cash deposits and short-term placements.

Income tax benefit for the third quarter of 2025 amounted to ₱13.7 million from ₱1.5 million income tax expense for third quarter of 2024 mainly due to higher deferred tax components for deferred tax assets such as carry over losses.

The Group earned a consolidated net income of ₱4.6 million for the quarter ended September 30, 2025.

September 30, 2025 versus December 31, 2024 Statements of Financial Position

MERRYMART CONSUMER CORP. AND SUBSIDIARIES

UNAUDITED CONSOLIDATED INTERIM STATEMENTS OF FINANCIAL POSITION

As at September 30, 2025 and December 31, 2024

			Horizontal Analysis		Vertical Analysis	
	September 30, 2025	December 31, 2024	Increase (Decrease)		2025	2024
ASSETS						
Current Assets						
Cash and cash equivalents	₱1,331,767,404	₱2,436,030,006	(₱1,104,262,602)	(45.3%)	9.2%	16.4%
Receivables	153,836,986	152,319,905	1,517,081	1.0%	1.1%	1.0%
Inventories	3,294,588,540	2,860,665,532	433,923,008	15.2%	22.7%	19.3%
Prepaid expenses and other current assets	802,749,046	731,765,092	70,983,954	9.7%	5.5%	4.9%
Total Current Assets	₱5,582,941,976	₱6,180,780,535	(597,838,559)	(9.7%)	38.4%	41.6%
Noncurrent Assets						
Property and equipment - net	₱5,053,395,931	₱4,707,604,841	₱345,791,090	7.3%	34.8%	31.7%
Right-of-use asset	508,071,224	565,171,478	(57,100,254)	(10.1%)	3.5%	3.8%
Intangible asset	2,848,279,166	2,852,149,469	(3,870,303)	(0.1%)	19.6%	19.2%
Deferred tax asset	155,813,010	134,779,869	21,033,141	15.6%	1.1%	0.9%
Other noncurrent assets	391,613,423	399,426,484	(7,813,061)	(2.0%)	2.7%	2.7%
Total Noncurrent Assets	₱8,957,172,754	₱8,659,132,141	298,040,613	3.4%	61.6%	58.4%
	₱14,540,114,730	₱14,839,912,676	(₱299,797,946)	(2.0%)	100.0%	100.0%
LIABILITIES AND EQUITY						
Current Liabilities						
Accounts payable and other current liabilities	₱1,671,017,199	₱1,766,000,132	(₱94,982,933)	(5.4%)	11.5%	11.9%
Short-term loans payable	3,796,000,000	3,286,000,000	510,000,000	15.5%	26.1%	22.1%
Total Current Liabilities	₱5,467,017,199	₱5,052,000,132	415,017,067	8.2%	37.6%	34.0%
Noncurrent Liabilities						
Retirement liability	₱49,469,457	₱48,056,089	1,413,368	2.9%	0.3%	0.3%
Lease liability	479,016,664	512,992,555	(33,975,891)	(6.6%)	3.3%	3.5%
Long-term loans payable	4,126,005,722	4,816,034,937	(690,029,215)	(14.3%)	28.4%	32.5%
Other noncurrent liabilities	2,580,000	16,091,893	(13,511,893)	(84.0%)	0.0%	0.1%
Total Noncurrent Liabilities	₱4,657,071,843	₱5,393,175,474	(736,103,631)	(13.6%)	32.0%	36.3%
Total Liabilities	₱10,124,089,042	₱10,445,175,606	(321,086,564)	(3.1%)	69.6%	70.4%
Equity						
Capital stock	₱379,746,835	₱379,746,835	-	0.0%	2.6%	2.6%
Additional paid-in capital	1,386,292,253	1,386,292,253	-	0.0%	9.5%	9.3%
Retained earnings	1,236,416,324	1,220,197,161	16,219,163	1.3%	8.5%	8.2%
Reserve on defined benefit plan	(253,586)	(253,586)	-	0.0%	(0.0%)	(0.0%)
Non Controlling Interest	1,413,823,862	1,408,754,407	5,069,455	0.4%	9.7%	9.5%
Total Equity	₱4,416,025,688	₱4,394,737,070	21,288,618	0.5%	30.4%	29.6%
Total Liabilities and Equity	₱14,540,114,730	₱14,839,912,676	(299,797,946)	(2.0%)	100.0%	100.0%

As of September 30, 2025 vs December 31, 2024

Total assets as at September 30, 2025 stands at ₱14,540.1 million compared to ₱14,839.9 million as at December 31, 2024.

Current Assets

As at September 30, 2025 and December 31, 2024, total current assets amounted to ₱5,582.9 million or 38.4% of total assets, and ₱6,180.8 million or 41.6% of total assets, respectively.

Cash and cash equivalents stands at ₱2,436.0 million as at December 31, 2024 to ₱1,331.8 million as at September 30, 2025 primarily due to cash used in operations, and construction of branches.

Receivables accounts for 1.1% of the total assets as at September 30, 2025. It increased by 1.0% from ₱152.3 million as at December 31, 2024 to ₱153.8 million as at September 30, 2025 mainly due to trade receivables from credit card transactions that are settled within 1-3 days from transaction date and receivables from wholesale and corporate customers.

Inventories increased by 15.2% from ₱2,860.7 million as at December 31, 2024 to ₱3,294.6 million as at September 30, 2025 mainly due to additional merchandise inventories and supplies for stores and branches. Inventories accounts for 22.7% of the total assets as of September 30, 2025.

Prepaid expenses and other current assets increased by 9.7% from ₱ 731.8 million as at December 31, 2024 to ₱802.7 million as at September 30, 2025 primarily due to increase in input vat, prepaid expenses and creditable withholding taxes.

Noncurrent Assets

As at September 30, 2025 and December 31, 2024, total noncurrent assets amounted to ₱8,957.2 million or 61.6% of total assets, and ₱8,659.1 million or 58.4% of total assets, respectively, for an increase of ₱298.0 million or 3.4%.

Property and equipment increased by 7.3% from ₱4,707.6 million as at December 31, 2024 to ₱5,053.4 million as at September 30, 2025 due primarily to the increase in construction in progress and leasehold improvements of stores, as well as acquisition of store equipment.

Right-of-Use is in relation to the adoption of PFRS 16 in 2019. Right-of-Use Assets amounted to ₱508.1 million as at September 30, 2025, which is 3.5% of total assets and ₱565.2 million as at December 31, 2024. The decrease is due to depreciation recognized for the period.

Intangible Assets decreased by ₱3.9 million from ₱2,852.1 million as at December 31, 2024 to ₱2,848.3 million as at September 30, 2025.

Deferred tax assets increased by 15.6% from ₱134.8 million as at December 31, 2024 to ₱155.8 million as at September 30, 2025 due to increase in the deferred tax component of NOLCO from subsidiaries.

Other noncurrent assets mainly pertain to the deposits made by the Group for new lease for its new and upcoming stores. Other noncurrent assets decreased by ₱7.8 million or 2.0% from ₱399.4 million as at December 31, 2024 to ₱391.6 million in September 30, 2025.

Current Liabilities

As at September 30, 2025 and December 31, 2024, total current liabilities amounted to ₱5,467.0 million or 37.6% of total assets, and ₱5,052.0 million or 34.0% of total assets, respectively, for an increase of ₱415.0 million or 8.2%.

Accounts payable and other current liabilities decreased by 5.4% to ₱1,671.0 million as at September 30, 2025 from ₱1,766.0 million as at December 31, 2024, primarily due to payment of existing obligations with trade suppliers.

Short-term loans payable amounted to ₱3,796.0 million as at September 30, 2025, and ₱3,286.0 million as at December 31, 2024. The increase is due to additional short term loans availed and reclassification of current portion of long term loan during the period.

Noncurrent Liabilities

As at September 30, 2025 and December 31, 2024, total noncurrent liabilities amounted to ₱4,657.1 million or 32.0% of total assets, and ₱5,393.2 million or 36.3% of total assets, respectively, for a decrease of ₱736.1 million or 13.6%.

Retirement benefits liability increased by ₱1.4 million or 2.9% from ₱48.1 million as at December 31, 2024 to ₱49.5 million as at September 30, 2025.

Long-term loans payable amounted to ₱4,126.0 million on September 30, 2025 and ₱4,816.0 million on December 31, 2024. The decrease was due to reclassification to current portion of long term loans during the period.

Lease liability pertains to the contractual lease liability recognized by the MM Group for its stores and office space in relation to the PFRS 16 adoption amounting to ₱479.0 million as at September 30, 2025, a decrease of ₱34.0 million or 6.6% from ₱513.0 million as at December 31, 2024 due to reclassification to current lease liabilities.

Other noncurrent liabilities amounted to ₱2.6 million as at September 30, 2025 and ₱16.1 million on December 31, 2024. The decrease is due to payment of retention payables.

Equity

As at September 30, 2025 and December 31, 2024, total equity amounted to ₱4,416.0 million or 30.4% of total assets, and ₱4,394.7 million or 29.6% of total assets, respectively, for an increase of ₱21.3 million or 0.5%. The increase in equity is due to the net income for the period.

Key Performance Indicators of the Company

	Unaudited September 30, 2025	Audited December 31, 2024
Current Ratio	1.02	1.22
Asset to Equity	3.29	3.38
Debt to Equity Ratio	1.79	1.84
Acid Test Ratio	0.27	0.51

	Unaudited period ending September 30, 2025	Unaudited period ending September 30, 2024
Return on Equity	0.55%	0.27%
Net Income to Revenue	0.30%	0.14%
Net Income Growth	2.94%	178.84%
Solvency Ratio	0.032	0.033

The following are the formula by which the Company calculates the foregoing performance indicators are as follows:

$$\text{1. Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

2. Asset to Equity Ratio	$\frac{\text{Total Assets}}{\text{Total Stockholders' Equity}}$
3. Debt to Equity Ratio	$\frac{\text{Total Interest Bearing Short-Term and Long-Term Debt}}{\text{Total Equity}}$
4. Acid Test Ratio	$\frac{\text{Cash} + \text{Accounts Receivable} + \text{Marketable Securities}}{\text{Current Liabilities}}$
5. Return on Equity	$\frac{\text{Net Income Attributable to Owners of the Parent}}{\text{Average Equity Attributable to the Owners of the Parent}}$
6. Net Income to Revenue	$\frac{\text{Net Income Attributable to Owners of the Parent}}{\text{Total Revenue}}$
7. Net Income Growth	$\frac{\text{Net Income Attributable to Owners of the Parent (Current Period)} - \text{Net Income Attributable to Owners of the Parent (Prior Period)}}{\text{Net Income Attributable to Owners of the Parent (Prior Period)}}$
8. Solvency Ratio	$\frac{\text{Net Income} + \text{Depreciation and Amortization}}{\text{Total Liabilities}}$

Other Disclosures

MM Group is not aware of any known trends, demands, commitments, events, or uncertainties that will have a material impact on MM Group's liquidity.

MM Group is not aware of any event that will trigger direct or contingent financial obligation that is material to MM Group, including default or acceleration of any obligation.

MM Group has no material off-balance sheet transactions, arrangements, or obligations that were likely to have a current or future material effect on our financial condition, revenues or expenses, results of operations, liquidity or capital expenditures.

MM Group has no material commitments for capital expenditures other than those performed in the ordinary course of trade of business and MM Group's store expansion plan.

MM Group also has no unconsolidated subsidiaries.

MM Group does not have any significant elements of income or loss that did not arise from its continuing operations.

MM Group experiences the fourth quarter of the year with increase in sales due to Christmas & New Year holidays.

PART II--OTHER INFORMATION

N/A

SIGNATURES

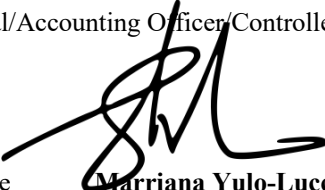
Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer MERRYMART CONSUMER CORP.

Signature and Title 
Jose Roelph E. Desales
Chief Information Officer

Date November 14, 2025

Principal Financial/Accounting Officer/Controller: **Marriana Yulo-Luccini**

Signature and Title 
Marriana Yulo-Luccini
Chief Finance Officer

Date November 14, 2025